MAINE SUCCESSION PARTNERS

You spent thirty years building this company.
Let's make sure the next thirty weeks do it justice.

A private briefing for the owner of a Maine trades or service business who is thinking — even quietly — about what comes next.

A NOTE BEFORE THE NUMBERS

First, the thing nobody says to you often enough: what you built matters

You answered the phone at 5:30 on a February morning when a furnace went out. You made payroll in the lean years out of your own pocket. You trained apprentices who now run crews of their own. There is a town — maybe several — that works because your trucks show up.

Most of the people who will eventually talk to you about selling will start with a multiple. I'd rather start with the truth: a company like yours is rare, it is valuable, and it deserves a buyer who understands both.

This briefing is about how we help you get three things at once — the price your company has earned, a buyer who will carry it forward the way you would, and a process that doesn't take over your life while you are still running the business.

I won't pretend any of this is easy. Nationally, only about one in four small businesses that go to market actually sells. Most of the rest quietly close. We exist to move owners like you to the right side of that number.

What I'd ask of you today is small. Read the next ten pages. If anything here rings true, let's have one confidential conversation — no listing, no commitment, no fee — about what your company is actually worth and what it would take to get there. If the answer is "not yet," you'll leave with a clearer plan than you walked in with, and that is yours to keep.

I live in Portland. I've run industrial property, energy facilities, and excavation and scrap operations, and I've sat across the table from the lenders who fund these deals. I know what a good set of books looks like and what a bad Monday looks like. I'd be glad to come see your shop.

Justin Bristol

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EXECUTIVE SUMMARY

Three things you want from a sale, and the three things we do to get them

What you want	Why it usually doesn't happen	What Maine Succession Partners does about it
A fair price, actually paid — not a headline number that gets chipped away in diligence	Buyers and their lenders can't *prove* your earnings from tax returns and a QuickBooks file. Unproven profit is discounted or financed out of your pocket.	We rebuild 36 months of financials to bank-statement proof, document every add-back, and build the lender's package before the first buyer sees the company. Price survives because it is provable.
The right buyer — someone who will keep your people and your name on the trucks	Most brokers post a listing and wait. The buyers who show up are whoever is browsing that week.	We run a deliberate search across five buyer paths — SBA-backed operators, search-fund entrepreneurs, family offices, regional strategics, and internal successors — and let you choose.
Your life back — a process that closes in months, not years, without you running it	Deals die of time. Owners burn out answering the same questions for six buyers, and the business slips while they do.	One operator plus an AI-enabled delivery system handles the reconstruction, the materials, the buyer questions, and the closing tracker. You run the company; we run the sale.

20–30%
Share of listed small businesses that actually sell today (Exit Planning Institute; BizBuySell surveys)

7–9 mo.
Our base-case timeline from engagement to closing

$0
Paid by you until your deal closes — our fee comes out of the proceeds at the closing table

4–6
Maximum concurrent clients we take on, so every owner gets the principal, not an associate

The short version: we make your company easier to finance, easier to believe, and easier to run without you — and then we introduce it to the deepest pool of qualified buyers Maine has ever had. Pages 4–11 show how.

WHAT USUALLY HAPPENS — AND WHY

Most Maine companies that go to market don't sell. The reason is almost never the company.

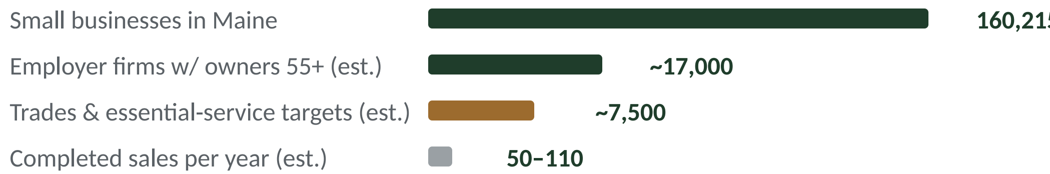
Maine is the oldest state in the country (median age 44.9). Roughly half of U.S. small-business owners are 55 or older, and the people who built Maine's trades economy in the 1980s and '90s are reaching the point where health, energy, and family timelines force a decision.

When they do go to market, three things sink the majority of deals:

1. **The books can't be proven.** Cash jobs, personal expenses run through the company, no work-in-progress accounting. The profit is real — but the buyer's bank can't underwrite "trust me."
2. **The company is the owner.** Every estimate, every key customer, every hard conversation runs through one person. Buyers pay less for a job than for a business.
3. **The wrong buyers, at the wrong price.** A volume listing attracts tire-kickers and lowballers. The owner, exhausted, either takes a bad deal or pulls the listing and closes the doors a few years later.

Every failed sale is a closure — lost jobs, lost customers, and a legacy that ends with an auction of the trucks.

Maine's succession picture, in four numbers



Hundreds of Maine owners try to transition every year. Only a few dozen succeed, and almost none of them had a quality advisor — because quality advisors historically couldn't afford to work on companies under $5 million. That is the gap we were built to fill.

The good news hiding in this chart: buyer demand in Maine has never been deeper. SBA 7(a) lending into the state ran 371 loans and $86 million in FY2024, search funds and lifestyle acquirers actively target Maine, and New England trades consolidators are buying across the region. The buyers are here. What's been missing is the preparation.

Sources: SBA Office of Advocacy, 2025 Maine Small Business Profile; U.S. Census Bureau; SBA Maine lending data FY2024; Exit Planning Institute; BizBuySell owner surveys. Owner-age and target-universe figures are MSP estimates applied to national studies and are labeled as such.

The real counterparty isn't the buyer. It's the buyer's lender — and we build your case for them first.

Most sub-$5 million companies in Maine are bought with an SBA 7(a) loan. The bank will fund the purchase only if your company's proven cash flow covers the loan payment with room to spare (typically a 1.25x coverage test). Every dollar of profit you can't document is a dollar the bank won't lend against — which means it comes off your price or ends up as a seller note you may never collect.

So we start where the bank starts:

- **Proof of cash.** We tie 36 months of bank statements to your books, line by line.
- **Recast earnings.** Owner salary, the truck, the family phone plan, the one-time roof — each add-back mapped to the document that proves it.
- **Work-in-progress and balance sheet.** Under- and over-billings, equipment, receivables — presented the way an underwriter reads them.
- **Lender package.** Pre-built, so the buyer's bank gets a file it can approve, not a shoebox it has to decode.

> *"Sell provability, not promises. A buyer who can get financed is a buyer who can close."*

What provability is worth (illustrative)

Item	Unprepared	MSP-prepared
Stated owner earnings (SDE)	$700,000	$700,000
Earnings the lender accepts	$520,000	$690,000
Multiple buyers will finance	2.8x	3.3x
Financeable price	**~$1.46MM**	**~$2.28MM**
Seller note / earn-out required to bridge	Large	Small or none

This is an illustration, not a forecast for your company. The point is directional and consistent with what we see in the market: the same business, documented properly, finances at a meaningfully higher price with less of your money left at risk after closing. Your actual numbers come out of the valuation conversation.

Why we can afford to do this for a $2 million company: the financial reconstruction alone used to take an analyst 80–150 hours, and the full engagement 400 hours or more — which is why quality advisors couldn't afford companies your size. With AI-assisted extraction, drafting, and tie-out, that effort is significantly less, with a human reviewing every exception. The quality is institutional. The economics finally fit the size of the deal.

We don't just package your business — we help you run it better, and buyers pay for the difference

Most of what raises a buyer's offer is also what makes your own life easier in the meantime. Using AI-enabled tools we've already built, we can put the following in place during the 60–90 day preparation window, at no additional fee, in the order that matters most for your company.

Lever	What we do with you	Why a buyer pays more for it
Financial clarity	Monthly P&L, balance sheet with WIP, 13-week cash forecast, and a KPI dashboard — a formula-driven reporting workbook you keep after closing.	"Looks institutional by month two." Lenders underwrite faster; buyers stop discounting for uncertainty.
Process documentation	We interview you and your leads and turn what's in your head into written SOPs: dispatch, estimating, job close-out, collections, safety, hiring.	A documented company transfers. An undocumented one is a key-person risk priced into the offer.
Pricing & job costing	Job-level margin analysis across your history; identify the work, customers, and crews that make money and the ones that don't.	Demonstrated margin discipline supports a higher multiple and a cleaner growth story.
Customer acquisition	Review-generation system, Google Business Profile and local search tune-up, lead-response scripts and follow-up automation, service-agreement programs.	Recurring revenue and a visible lead engine are the two things every buyer asks about first.
Owner-dependence reduction	Delegation plan for the 5–10 tasks only you do today; customer-relationship mapping so the goodwill lives in the company, not in your truck.	Shortens the transition the buyer needs from you and reduces earn-out exposure.
Workforce & licensing	License-of-record plan, key-employee retention approach, org chart the buyer can step into.	In Maine trades, the license and the crew *are* the business. Buyers and lenders check both before anything else.
Data room & diligence	Organized, indexed, AI-drafted responses to buyer questions reviewed by us before they reach you.	Fast, complete answers keep momentum. Deals die of time.

All of the above is delivered by the principal with AI-assisted drafting, extraction, and analysis. Nothing is sent to a buyer or lender without human review. We don't replace your CPA or attorney — we make their work faster and cheaper, and we'll coordinate with them directly.

Five buyer paths, deliberately worked — so you choose the successor instead of settling for whoever shows up

Buyer path	Who they are	What they value	What it means for you
Search-fund entrepreneur	An experienced professional, typically early 30s, backed by investors to find and personally run one company for the long term.	A durable local business with a good crew, where they can be the hands-on CEO for 5–10+ years.	The closest thing to handing the keys to a younger version of yourself. Usually the best fit for legacy and people. (See page 8.)
SBA-backed owner-operator	A tradesperson or manager buying their first company with a 7(a) loan — often relocating to Maine for the life.	Provable cash flow that covers the debt; a seller willing to train.	Deepest pool of buyers in the state. Financing is the gate, which is why we build the lender package first.
Regional strategic	A larger HVAC, plumbing, electrical, or fuel company expanding into your territory.	Your customer list, technicians, and service agreements.	Often the highest cash price — and the highest risk of your name and crew being absorbed. We run a containment protocol so competitors don't learn your secrets without a real offer.
Family office / sponsor	Private investors buying a platform and adding to it.	Management in place or a clear plan to install it.	Good for larger or multi-location companies; may ask you to stay on and roll some equity.
Internal successor	Your foreman, your GM, or your kids.	A structure and financing that makes it possible.	We can engineer a financed internal sale — and run an outside process in parallel so you know what you're giving up, if anything.

How we work the list: an AI-built, hand-qualified buyer database for Maine and New England; drafted outreach that goes out under our name, not yours; confidentiality agreements before anyone learns which company it is; and a target of two or more written offers before you decide anything.

Your confidentiality comes first. Employees, customers, and competitors learn about a sale when you decide they should — not before. Blind profiles, staged disclosure, and signed NDAs on every buyer are standard on every engagement.

The best-educated, best-funded generation of small-company buyers in history is looking for a business exactly like yours

Since 1996, Stanford Graduate School of Business has tracked every "search fund" in the United States and Canada — a model in which a capable young professional raises money from investors to find, buy, and personally run one established company. Its 2026 study, covering more than 850 funds, reports:

33.9%	4.75x	2.88
Aggregate annual return (IRR) to search-fund investors, all funds since 1996	Aggregate return on invested capital	Public-market equivalent — i.e., roughly 2.9 times what the same dollars would have earned in the S&P 500

Put plainly: investors have learned that a talented operator buying a well-run Main Street company has **outperformed the stock market by a wide margin** for three decades. That is why a record 94 new search funds launched in 2023 alone, why launches stayed at historic highs through 2025, and why Stanford's median searcher — age 31, often MBA-trained, frequently leaving a finance or consulting career — now sees owning a company like yours as a better path than Wall Street.

Stanford also finds that 58% of searchers succeed in acquiring a company, that about 35% buy in the same state where they searched, and that acquired companies are held a median of roughly six years — these are owners, not flippers.

What this means at your kitchen table

- **More buyers, better buyers.** A capable 31-year-old with committed capital and a ten-year horizon is competing for your company with the SBA buyer and the consolidator. Competition is what protects your price.
- **Legacy-minded by design.** The searcher's whole plan is to run the company personally. Your crew keeps its jobs; your customers keep their phone number; your name stays on the door if you want it to.
- **Smaller companies qualify.** The Stanford median purchase is larger than most Maine trades businesses, but a growing wave of self-funded searchers and SBA-backed operators targets companies with $500K–$2MM in owner earnings. *This size band is our estimate from market activity, not a Stanford figure.*
- **They need a prepared seller.** Searchers and their investors underwrite like banks. Provable books and documented processes are the difference between a serious offer and a polite pass.

Our job is to make sure the searchers, the SBA buyers, and the strategics all see your company on the same day, with the same clean file, and bid against one another for the right to carry it forward.

Sources: Stanford GSB, "2026 Search Fund Study" and "Search Funds Keep Offering a Proven Path to Ownership" (July 13, 2026): IRR 33.9%, ROI 4.75x, PME 2.88 as of Dec. 31, 2025; 850+ funds tracked; 58% acquisition rate; median purchase price $16MM (2024–25). Stanford GSB, "2024 Search Fund Study" (Case E-870): 94 funds launched in 2023; median searcher age 31; 35% of acquisitions in-state; median hold 5.9 years; median acquired-company EBITDA $2.2MM.

HOW IT WORKS

Seven to nine months, one point of contact, and you keep running the business the whole way

Weeks 0–2	Weeks 1–2	Weeks 3–8	Weeks 7–11	Weeks 10–18	Weeks 16–22	Weeks 20–36
0 · Confidential conversation	**1 · Engagement**	**2 · Financial reconstruction**	**3 · Valuation & materials**	**4 · Go to market**	**5 · Offers & LOI**	**6 · Diligence & closing**
Fit, timing, license-of-record, what you need from a sale. A broad opinion of value with your CPA in the room, so expectations are set before anyone is paid.	Plain-English engagement letter. You can end it. Our fee is earned only at closing.	Proof of cash, recast earnings, WIP and balance sheet, lender package. The reporting workbook goes live.	Confidential business review, blind teaser, buyer list built and qualified. Process improvements from page 6 underway.	Outreach across all five buyer paths under NDA. Staged disclosure. Site visits on your schedule, not theirs.	Target two or more written offers. We negotiate structure, not just price — cash at close, notes, earn-outs, your transition role.	Data room, lender coordination, purchase agreement with your attorney, funds-flow with wire-fraud protection. Announcement kit for your team.

What we ask of you

- About two hours a week during preparation, mostly answering questions we've already organized.
- Access to your bookkeeper, CPA, and bank statements.
- Candor about what's great and what isn't. We'd rather find it than have a buyer find it.
- Keep running the business like you're not selling it. Rising numbers during a sale are worth more than any pitch.

What you can count on from us

- The principal on every call, every visit, every negotiation.
- A weekly one-page status so you always know where things stand.
- No buyer learns your company's identity without a signed NDA and our qualification of their financing.
- A Maine-specific closing checklist built around how deals actually get done here.

WHAT IT COSTS, AND WHEN

We are paid out of the proceeds at closing. If your company doesn't sell, we don't get paid.

Our fee is a success fee, earned only when your deal closes, paid at the closing table from the purchase price. We use a standard "Double Lehman" schedule — the same structure used in larger transactions — or a flat 10% with a minimum, whichever we agree fits your company. An optional modest work fee during preparation, if used, is credited in full against the success fee.

Double Lehman schedule	Rate
First $1,000,000 of purchase price	10%
Second $1,000,000	8%
Third $1,000,000	6%
Fourth $1,000,000	4%
Above $4,000,000	2%

All of the preparation work on pages 5 and 6 — financial reconstruction, the reporting workbook, process documentation, the lender package — is included. There is no separate consulting invoice.

Worked example: a Southern Maine HVAC contractor

Purchase price	**$2,500,000**
MSP success fee (Double Lehman)	$210,000
Effective rate	8.4%
Paid by you before closing	$0 (or a work fee credited back)

Compare that against the alternative most owners face: a 10–12% volume-broker commission for a listing with no financial reconstruction, or — more often — no sale at all. The question isn't what the fee costs. It's what the unprepared version of your company would have sold for, if it sold.

Our incentives are yours. We only earn when you close, and we earn more when you close higher. We'll tell you if your company isn't ready or the timing is wrong — an engagement that doesn't close costs us months of unpaid work, so we're as careful about saying yes as you are.

Fee figures per MSP's standard engagement letter. We operate under the federal M&A Broker exemption and Maine requirements; your attorney reviews every agreement, and we're glad to recommend Maine counsel if you don't have one.

THE QUESTIONS YOU'RE PROBABLY ASKING

Fair questions, and our answers

What you might be thinking	Where we stand
"I'm not ready to sell."	Then don't. Most owners who call us aren't. The right time to get the books provable and the processes written is two years before you sell, and everything on page 6 makes the company better to own in the meantime. A valuation conversation now gives you a number, a plan, and no obligation.
"Nobody can run it like I do."	You're right — and that is exactly what a buyer's lender is afraid of. Our job is to help you move what's in your head into systems your team and a successor can run. That's also how you finally get a vacation.
"My numbers are a mess."	Everyone's are. Cash jobs, the truck, the boat — we've seen it. We rebuild from bank statements, not from your bookkeeping, and we document the add-backs so they count in your favor instead of against you.
"I don't want my employees or competitors to know."	Neither do we. Blind profiles, NDAs before any name is shared, staged disclosure, and a containment protocol for strategic buyers. You decide when your team hears it, and we help you tell them well.
"I've heard AI makes things up."	It can, which is why nothing leaves our office without a human reviewing it and every number tying to a source document. We use AI for the extraction, drafting, and organizing that used to consume hundreds of analyst hours and made quality advice unaffordable at your size — not for judgment.
"What about my kids or my foreman?"	Good. We'll structure the internal option properly — financing, price, terms — and, if you want, run it alongside an outside process so you choose with full information rather than guilt.
"You're a new firm."	We are — launched this year, on purpose, because the tools that make this work for companies your size didn't exist before. What isn't new is the operator experience, the lending literacy, or the playbook, which we'll put on your table at the first meeting. Judge the work, not the age of the logo.

THE NEXT STEP

One confidential conversation. No listing, no fee, no obligation — and you leave with a number and a plan.

1. **We meet at your shop, or wherever you're comfortable.** An hour, maybe ninety minutes. You tell us how the business runs and what you want the next chapter to look like.
2. **We review three years of tax returns and financials, in confidence.** We'll involve your CPA if you'd like — most owners find that helps.
3. **You get a broad opinion of value and a readiness plan.** What the company is likely worth today, what it could be worth prepared, and what it would take to get there. It's yours whether or not we ever work together.

> *You built something that works. Let's make sure it's still working — with your people, in your town — long after you've handed over the keys.*

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Call or email, or hand this to your CPA or attorney and ask them to. We're glad to talk to whoever you trust first.

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